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CMYK Composite
CL,CN,CX,DL,DM,DX,EE,EU,FL,HO,KC,MW,NC,NE,NY,PH,PN,RM,SA,SC,SL,SW,TU,WB,WE
BG,BM,BP,CC,CH,CK,CP,CT,DN,DR,FW,HL,HW,KS,LA,LG,LK,MI,ML,NM,PA,PI,PV,TD,TS,UT,WO

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MONEY & INVESTING



Raising Objections

European bank practice under fire GLOBAL FINANCE | C3



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THE WALL STREET JOURNAL. Monday, August 10, 2015 | C1

Last Week: **DJIA** 17373.38 ▼ 316.48 1.79% **S&P** 2077.57 ▼ 1.25% **NASDAQ** 5043.54 ▼ 1.65% **10-YR. TREAS.** ▲ 10/32, yield 2.173% **OIL** $43.87 ▼ $3.25 **EURO** $1.0967 **YEN** 124.23 See more at **WSJMarkets.com**

No Relief in Sight for Crude

Oil's malaise could last years, futures indicate; producers rethink their hedging strategies

By Nicole Friedman

The oil market is signaling that prices could stay lower for longer, delivering a fresh blow to hard-hit energy exploration-and-production companies.

Benchmark U.S. oil futures for September delivery are nearing the six-year low hit in March. But contracts for delivery in later years have taken an even bigger hit, with prices for 2016 and 2017 already trading below their March lows.

That indicates that investors, traders and oil companies see the global glut of crude oil persisting beyond this year.

Companies making long-term investment decisions rely on the prices of futures contracts one or more years in advance. Producers trade futures and options contracts for coming years to lock in prices for the oil they plan to sell in those years.

A number of U.S. shale-oil producers say they can profitably increase production if prices rise above $65 a barrel. On Friday, front-month oil prices fell 79 cents, or 1.8%, to $43.87 a barrel, while futures for delivery in December 2016 settled at $51.88 a barrel. The most expensive benchmark oil-futures contracts, which were dated for delivery in 2022 and 2023, settled at $63.26 a barrel.

For many producers, such as **Diamondback Energy** Inc. and **Marathon Oil** Corp., later-dated contracts are now too cheap to justify locking in prices. That means producers are likely to enter 2016 with fewer price hedges on the books than usual, if they have any at all.

Companies without price protection in 2016 could be forced to cut back further on new drilling if prices remain below their break-even costs.

"I think it's a fair assessment that just about nobody is putting on hedges at this point," said Jason Wangler, an analyst at Wunderlich Securities. "Why lock in the bottom?"

The drop in later-dated prices surprised some analysts and investors. Oil trader Andrew Hall, who is known for making long-term bullish oil bets, wrote in an investor letter dated Aug. 3 that he didn't foresee the "pessimism" in the oil market. Mr. Hall's $2.8 billion hedge-fund firm **Astenbeck**

Please see OIL page C2

Mixed Bag

While a slowdown in China and a strong dollar are hurting some industrial stocks, there are bright spots.

Stock performance this year



Source: FactSet THE WALL STREET JOURNAL.

Industrial Stocks Lure Bargain Hunters

By Dan Strumpf

U.S. industrial firms are getting a fresh look, as investors scour for bargains in a sector that has disappointed shareholders throughout a six-year-long U.S. economic recovery.

ABREAST OF THE MARKET

Revenue and profit at heavy-equipment manufacturers, shipping companies and industrial conglomerates have been whipped by a sell-off in commodities, a cooling in China and a surge in the value of the dollar.

The industrials sector of the S&P 500 is down 5% in 2015, compared with a 0.9% gain in the overall index. This year through June, investors have pulled $4 billion from industrial-sector mutual funds and exchange-traded funds, according to fund tracker Morningstar Inc. They poured $9 billion into such funds from 2012 through 2014.

But some portfolio managers say negative sentiment on the sector may provide an opportunity. A potential bonus, some say, is the prospect of rising U.S. interest rates, which would ease pension-funding needs at many companies without immediately reducing demand for their products.

Some are focusing on areas such as the expanding U.S. housing industry and the aerospace business, where Boeing Co. and Airbus Group SE have an order backlog totaling more than 10,000 jets.

The hunt for bargains in a sector that is being buffeted by economic crosswinds is the latest sign of investors' struggle to find cheap securities in a world where many assets are perceived to be richly valued amid soft economic fundamentals and expansive cen-

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SEVERIN KOLLER FOR THE WALL STREET JOURNAL

Every weekday morning before work, Alexander Sommer wakes up in Vienna to an email summarizing his coming trades for the day.

Traders Feel at Home With Algorithms

By Austen Hufford

After more than 100 hours of coding over three months, Mike Soule was finally ready to switch on his project. He didn't know what to expect. If things went right, he could be on his way to financial success. If things went wrong, he could lose his savings.

His creation wasn't a new mobile app or e-commerce store. It was a computer program that would buy and sell currencies 24 hours a day, five days a week.

DIY's newest frontier is algorithmic trading. Spurred on by their own curiosity and coached by hobbyist groups and online courses, thousands of day-trading tinkerers are writing up their own trading software and turning it loose on the markets.

"It's definitely one of those things where you are like, 'Is this going to work?'" said Mr. Soule, who is a student at University of Nevada, Reno, and a network administrator at Tahoe Forest Health system. "When it finally started trading, wow, wow. I don't know if that is what I expected, but I did it."

Interactive Brokers Group Inc. actively solicits at-home algorithmic traders with services to support their transactions. YouTube videos from traders and companies explaining the basics have tens of thousands of views. More than 170,000 people enrolled in a popular online course, "Computational Investing," taught by Georgia Institute of Technology professor Tucker Balch. Only about 5% completed it, but at an algorithmic trading event in New York in April, three people asked him for his autograph.

"College professors very rarely get asked for their autographs," Mr. Balch said.

To learn more about the fundamentals of algorithmic trading, Alexander Sommer watched Mr. Balch's video lectures.

Now, every weekday morning before work, Mr. Sommer wakes up in Vienna to an email summarizing his coming trades for the day. The email is generated by his custom-built trading platform, which automatically places trades throughout the day using the algorithms he and his three trading partners developed. The

Please see TRADE page C3

Chinese Companies Pay A Premium to Borrow

By Fiona Law

HONG KONG—China's stock market, its currency and economy all face pressure, and now those factors have some of the country's leading corporations paying a premium to borrow.

Global investors continue to flock to Chinese corporate debt as stocks have plunged, supporting bond prices and lowering rates, but Chinese companies are paying higher interest rates to investors compared with corporate issuers elsewhere in Asia.

Investment-grade Chinese corporate bonds yield 1.92 percentage points above the benchmark 10-year U.S. Treasury note, compared with about 1.05 percentage points for counterparts in South Korea. High-grade corporate bonds in India are 1.86 points above Treasurys, while Malaysian debt is 1.37 points above Treasurys, according to a UBS analysis. The yield on the 10-year U.S. Treasury has dropped since mid-June, resulting in lower aggregate borrowing costs overall for Asian borrowers.

China bonds "have higher volatility with lots of supply," said Edwin Chan, UBS head of Asia credit research in Hong Kong. "People's expectation of more ongoing supply helps widen their credit spreads, too."

This year, Chinese companies have sold bonds valued at $73.8 billion denominated in U.S. dollars or euros, up 35% from a year earlier, according to data provider Dealogic, including investment- and non-investment

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Shake Shack's Stock Is Overdone

By Spencer Jakab

It is another burger chain's line, but **Shake Shack** Inc. shareholders could be excused for adopting it: "Where's the beef?"

The stock's gains since January's initial public offering have been meaty enough at about 225%. The question is how nourishing Shake Shack's underlying numbers are, especially given its $2.6 billion market value.

AHEAD OF THE TAPE

That certainly seems rich for a chain of 71 restaurants. **Wendy's** Co., which used the famous beef question and superior ingredients to challenge **McDonald's** Corp. and others with stunning success 30 years ago, is only valued at about one-fifth more. But it had roughly 100 times the number of restaurants at end-2014.

Such comparisons are imperfect, of course. And, as enthusiastic backers of Shake Shack will note, Wendy's doesn't have people lining up around the block for its fare.

Then again, those lines happen to be a phenomenon unique to Shake Shack's birthplace, New York. There is a big gap between those outlets and ones in suburbia or outside the country where lines disappear after a while. Licensed outlets as a group have seen a big drop in turnover after their first year. "We open big," says the company, acknowledging the pattern.

With Shake Shack's third results call as a public company looming Monday—it missed consensus forecasts badly the first two times—it needs to give fans of its stock more reason to keep believing. Last time around, it said "same-shack sales" growth for this year would be in the mid- to low single-digit percentages, adding it would open just 10 domestic, company-owned restaurants and five international licensed ones.

That is nowhere near enough to justify a nosebleed valuation of more than 400 times forward earnings. For its part, the company stresses how profitable its restaurants are, making for a quick payback period.

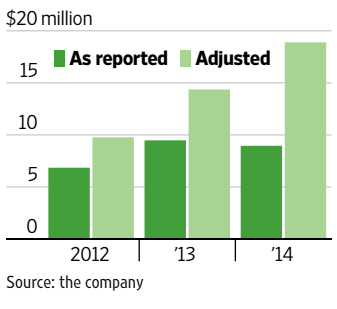
Unfortunately, operating-profit measures exclude items such as "preopening costs," "deferred rent" and "executive compensation." Last year's "adjusted" earnings before interest, taxes, depreciation and amortization were $18.9 million. Yet the figure in its official accounts is just half as much.

In other words, profitability and growth are good, not great. While its burgers are superb, the valuation premium Shake Shack enjoys over chains that make good ones, not great ones, looks excessive.

Email: **tape@wsj.com**

Special Sauce

Shake Shack's earnings before interest, taxes, depreciation and amortization



Source: the company

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